

Micron Technology, Inc.

MU NASDAQ

Hold	\$783.02 ▼ 4.57%	12M Price Target \$950.00	52-Week Range \$103.38 – \$1255.00	Market Cap \$884.55B
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MU: AI Memory Darling Cools After Brutal 3-Day Selloff

WHAT HAPPENED

- MU got hammered again — down 4.6% today and roughly 21% in a week (from \$990 to \$783). The trigger: SK Hynix (Micron's Korean rival and the world's biggest HBM maker) reported earnings that were actually solid but not the miracle numbers Wall Street had priced in. When the leader disappoints, the whole memory group gets sold — that's why Micron is bleeding even without any bad news of its own.
- The CLARITY Act hit a "summer roadblock" in Congress — that's the crypto/digital asset framework bill, not directly a Micron story, but it signals that Congress is moving slowly on tech legislation generally right now, which matters for the AI infrastructure bills MU wants passed.

WHY IT MATTERS

This is a sentiment reset, not a fundamentals reset — and that distinction matters. The AI memory trade got too crowded (MU had roughly a 10x run in two years) and any hint of "growth deceleration" from a peer becomes an excuse to take profits. But here's the inference: SK Hynix's numbers were still strong in absolute terms, and Micron is the only US-headquartered pure-play memory maker — meaning if the Trump administration ratchets up chip tariffs on Korean or Chinese memory (a real possibility given ongoing Section 232 semiconductor reviews), MU actually *benefits* from this selloff pricing. Volume today (16M shares) was way below the panic days (40-47M), which tells me the forced selling is exhausting itself.

POLICY & POLITICAL WATCH

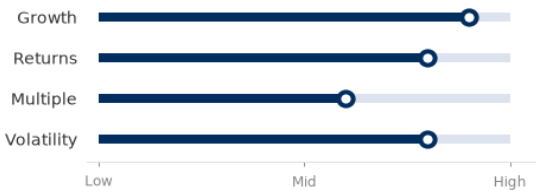
Two big things to watch: (1) The CHIPS Act — Micron already locked in ~\$6.1B in federal grants for its Idaho and New York fabs, and any Trump administration move to claw back or renegotiate CHIPS awards (which they've floated) is the single biggest political risk here. (2) The ongoing Section 232 semiconductor tariff investigation — if this results in tariffs on imported memory chips from Korea and China, Micron's domestic manufacturing footprint becomes a massive competitive moat overnight. Also keep an eye on export controls to China: MU already lost Chinese government/telecom business in 2023, so further restrictions cut both ways.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$783.02
12M Price Target	\$950.00
Upside / (Downside)	+21.3%
Market Cap	\$884.55B
FY2026E Revenue	\$45M
FY2027E Revenue	\$59M
FY2026E EPS	\$12.40
FY2027E EPS	\$18.20
Fwd P/E	63.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$900.00	\$820.00	\$700.00
6 Months	\$1050.00	\$900.00	\$650.00
1 Year	\$1250.00	\$950.00	\$600.00
2 Years	\$1600.00	\$1150.00	\$550.00
5 Years	\$2500.00	\$1600.00	\$500.00
10 Years	\$4000.00	\$2200.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.6%) — likely tied to Middle East tensions and the administration's pro-drilling posture. Healthcare and Staples getting the defensive bid as tech wobbles.

COOLING OFF: Semiconductors broadly — the AI trade is going through its first real "digestion" phase in 18 months. Not a thesis break, just profit-taking.

ROTATION WATCH: Money is rotating OUT of high-multiple AI winners and INTO defensives and energy. This is classic late-cycle behavior when a hot trade gets crowded — doesn't mean AI is over, just that positioning got extreme.

RELATED PLAY: If you believe the memory cycle stays strong but want less volatility, memory equipment makers (Applied Materials, Lam Research) capture the same tailwind with steadier revenue.

WHO'S WINNING IN THIS SPACE?

- XOM (Exxon): Energy sector leading — geopolitical risk premium and friendly administration policy.
- Defensive names in healthcare and staples: catching the rotation dollars fleeing tech.

MU CONTEXT: Micron is lagging the market badly this week but roughly in-line with peers (SK Hynix down similar amount). That tells me this is a sector story, not a Micron-specific story — which is actually reassuring. When the whole group sells off together, the recovery tends to come together too.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the long-term AI memory story and the US manufacturing moat, but I'm not pounding the table at \$783 when it could easily see \$720 first.

POSITION SIZE: 2-4% of portfolio. This is a volatile name — the 52-week range is \$103 to \$1,255, which is nuts. Size accordingly.

ENTRY POINTS: I'd start nibbling at \$760, add aggressively at \$720, back up the truck under \$700. Don't chase — the selling isn't done based on that put/call flow (heavy \$800 puts still active).

TIME HORIZON: 12-24 months. The catalyst is next earnings (HBM revenue guidance) and any tariff/CHIPS Act news out of Washington.

WHEN TO BAIL: If HBM gross margins drop below 50%, or if Samsung gets qualified on Nvidia's next-gen GPU as primary supplier (not secondary), the thesis is broken.

HEDGING: Buy a small put position for insurance, or just keep the position size small enough that a 40% drawdown doesn't ruin your week. Memory stocks demand humility.